

Unions and Collective Bargaining

ECON 300 - Labour Economics

Muhebullah Karimzada

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- Summarize key measures of union influence in Canada.
- Describe the legal framework of unions and collective bargaining and its evolution.
- Use economic models to explain why unionization varies across workers, industries, and regions.
- Identify union objectives and constraints; apply wage–employment determination models.

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Table 14.1: Union Membership and Union Density in Canada, 1920–2019

Year	Union Membership (000s)	Union Membership as a Percentage of Civilian Labour Force	Union Membe
1920	374	9.4	
1925	271	7.6	
1930	322	7.9	
1935	281	6.4	
1940	362	7.9	
1945	711	15.7	
1951*	1,029	19.7	
1955	1,268	23.6	
1960	1,459	23.5	
1965	1,589	23.2	
1970	2,173	27.2	
1975	2,884	29.9	
1980	3,397	29.2	
1985	3,666	28.3	
1990	4,031	28.5	
1995	4,003	27.0	
2000	4,013	25.3	
2005	4,369	25.2	
2010	4,487	24.3	
2015	4 658	24.1	

Figure 14.1: Union Density in Canada and the United States, 1920–2019 — Placeholder

Figure 14.1 — Union density in Canada vs. the United States, 1920–2019.

Insert figure/diagram here later.

Evolution of the Legal Framework in Canada

- Pre-Confederation: law discouraged collective bargaining.
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Key Features of Canadian Labour Relations Policy

- Right to join and form unions.
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Table 14.2: Union Density and Collective Agreement Coverage in Selected OECD Countries

Country	Union Membership as % of Paid Workers		Collective Agreement Coverage as % of Paid Workers	
	1980	2016	1980	2016
Australia	50	14	84	60
Canada	34	29	37	28
Denmark	79	67	82	82
France	20	8	70	99
Germany	35	17	85	56
Italy	50	34	80	80
Japan	31	17	31	17
Netherlands	35	17	77	79
New Zealand	69	18	70	15
Sweden	78	62	88	90
United Kingdom	52	24	69	26
United States	22	10	25	12

Figure 14.2: % of Paid Workers Covered by a Union Contract, by Characteristics — *Placeholder*

Figure 14.2 — Coverage by industry, occupation, region, and worker traits.

Insert figure/diagram here later.

Patterns of Unionization in Canada

- Highest in nursing and blue-collar occupations.
- Higher in public sector than private sector.
- Full-time workers and those above 40 are more likely to be unionized.

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Determinants Highlighted by Empirical Evidence

- Canada–U.S. unionization differences largely reflect **supply** differences.
- Similar overall desire for unionization across the two countries.
- Influences: social attitudes, legislation, broader economic conditions.

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Worked Example: Decomposing Changes in Unionization (1/2)

Union density in base period = $.32 \times 43\% + .68 \times 26\% = 31.4\%$.

Union density in final period = $.24 \times 38\% + .76 \times 32\% = 33.4\%$.

Change = +2 percentage points.

	Percentage of Employment of Paid Workers		Union Density	
	Base Period	Final Period	Base Period	Final Period
Goods-producing industries	32	24	43	38
Services-producing industries	68	76	26	32
All industries	100	100	31	33

Worked Example: Decomposing Changes in Unionization (2/2)

Counterfactual union density = $.24 \times 43\% + .76 \times 26\% = 30.1\%$.

Change due to structural composition = $30.1 - 31.4 = -1.3$ percentage points.

	Percentage of Employment of Paid Workers		Union Density	
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- Causes for higher concentration in large firms: weaker individual action, lower per-worker organizing costs, larger potential gains.

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- Higher union interest in blue-collar jobs; unionization tends to decrease with age; low-paid workers show higher interest.

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- Heterogeneous member preferences; leadership choices and information matter.

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Figure 14.3 — Iso-utility curves, labour demand, and tangency at equilibrium.

Insert figure/diagram here later.

- Maximize wage rate: horizontal indifference.
- Maximize employment E : vertical indifference.
- Maximize real wage bill: rectangular hyperbolas (weights on wage and employment).
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Figure 14.4 — Alternative objective functions.

Insert figure/diagram here later.

Firm Isoprofit Curves and Bargaining Range

- Isoprofit curves: wage–employment combinations yielding equal profits; lower curves imply higher profits.
- Preferred outcomes define a bargaining range $[W_a, W_u]$.

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Figure 14.5 — Isoprofit map in wage–employment space.

Insert figure/diagram here later.

Figure 14.6 — Firm vs. union preferences and feasible bargaining range.

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Relaxing the Demand Constraint

- Make labour demand more inelastic.
- Influence product market (quotas, tariffs), regulations, minimum wages, full-employment policies.
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Figure 14.7 — Efficient and inefficient wage–employment contracts.

Insert figure/diagram here later.

- Information constraints, enforceability issues, shocks to demand/finances, and monitoring costs.

Figure 14.8: Inefficient, Approximately Efficient, and Efficient — *Placeholder*

Figure 14.8 — Contract efficiency comparison.

Insert figure/diagram here later.

Two Benchmark Models

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Figure 14.9 — Strike threat, demand elasticity, and wage outcomes.

Insert figure/diagram here later.

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